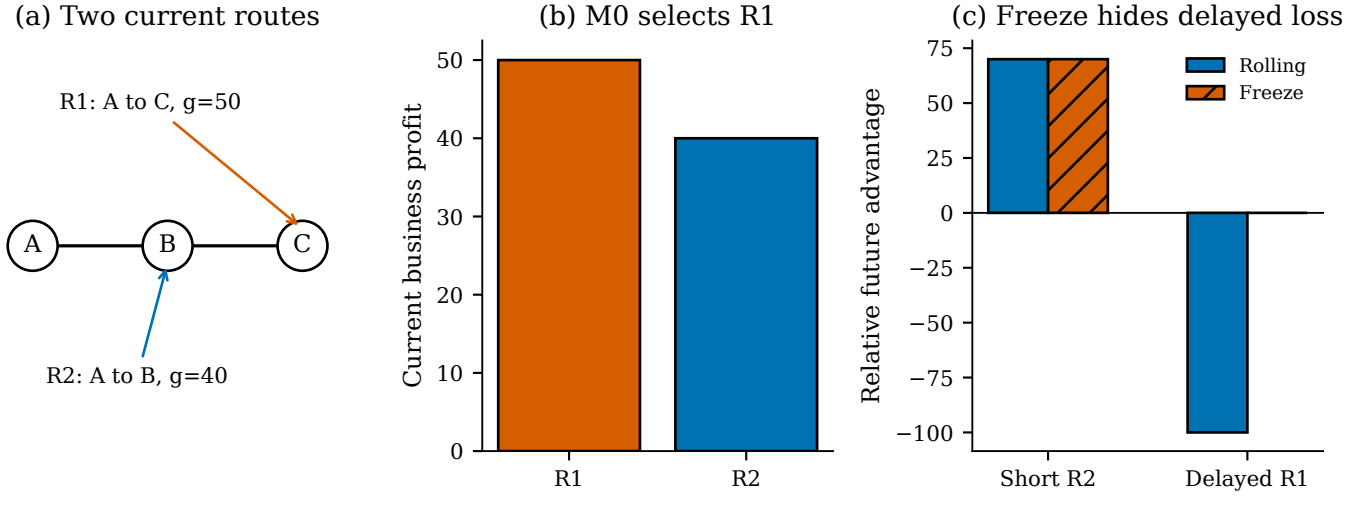
(a) Two current routes
R1: A to C, g=50
A
B
C
R2: A to B, g=40
(b) M0 selects R1
Current business profit
50
40
30
20
10
0
R1
R2
(c) Freeze hides delayed loss
Relative future advantage
75
50
25
0
−25
−50
−75
−100
Rolling
Freeze
Short R2
Delayed R1